ACCY122 Main Exam Brief v1.0

Disclaimer: This brief is correct at the time of publication.

Date, venue and time: as per the exam notice.
Duration: 3 hours.
Format: Prescribed seating arrangement. Invigilated, Closed book. Pen and paper exam. Writing stationery (pencil, scale, eraser etc.) including approved calculator allowed.
Disallowed: No access to mobile phone. No chat with anyone. No exchange of stationery etc.
Weightage: 50% of your overall score in the module.
Questions: 8 to 10 compulsory questions with unequal marks adding to a total of 100 marks.
Structure: You should write your answer (in ink) to questions in the space provided below each question.
Deferment: Follow procedure in student handbook.

Preparation strategy:
Step 1: do revision questions in this file in reverse order (start with the last question or last topic and then work towards earlier topics finishing with the question on page 2)
Step 2: do lecture examples (recordings + answer available) on moodle,
Step 2: do Tutorial questions done in session (no recordings + answers available) on moodle,
Step 3: do any other material (past exam papers, other lecture & tutorial questions not done in sessions etc.).

Restriction: No further individual (in person or via email) questions about the exam can be answered.

Free advice:
1) **Before** exam, don't forget to rest well.
2) Arrive early for exam with proper stationery (approved calculator, pen, pencil, scale, eraser etc.)
3) **During** exam; attempt questions in increasing order of difficulty (attempt easy questions first then difficult questions). Provide answers in the correct format (Journal entry, Ledger Account etc.), provide supportive workings to your answer.
Clarification during the exam: For minor queries (e.g. cash or credit transaction) write in a note and carry on with the exam.
Partial credit: Marks are given for supportive workings.
4) **After** exam: Don't compare answers with others after the exam. It rarely brings good news
Good luck :)

ADJUSTING ENTRIES

Exercise 4.12 Adjusting entries

Selected accounts of Arabella's Art Supplies are shown below at 30 June of the current year before any adjusting entries have been made.

	Debit	Credit
Prepaid Insurance	$ 4 500	
Supplies	720	
Shop Shelving	24 000	
Unearned Rental Fees		$ 4 800
Salaries Expense	32 600	
Rental Fees Revenue		13 200

Additional information

1. Prepaid insurance represents premiums for 1 year paid on 1 April.
2. Supplies of $430 were on hand at 30 June.
3. Shop shelving, which had been purchased on 1 January, is expected to last 10 years and have a residual value of $2000.
4. Amanda collected 4 months' rent in advance on 1 June from a number of tenants.
5. Accrued salaries not recorded as at 30 June are $2400.

Required: Record in the general journal the necessary adjusting entries on 30 June. (LO3)

(a)

ARABELLA'S ART SUPPLIES
General Journal

Date	Particulars	Debit	Credit
June 30	Insurance Expense	1 125	
	Prepaid Insurance		1 125
	Insurance expired. ($4500 × 3/12)		
	Supplies Expense	290	
	Supplies		290
	Supplies used. ($720 – $430)		
	Depreciation Expense – Shop Shelving	1 100	
	Accumulated Depreciation – Shop Shelving		1 100
	Depreciation on office equipment. ($24 000 – $2000)/10 × 6/12 = $1100)		
	Unearned Rental Fees	1 200	
	Rental Fees Revenue		1 200
	Rental fees earned for one month. ($4800 ÷ 4)		
	Salaries Expense	2 400	
	Salaries Payable		2 400
	Accrued salaries.		

Exercise 5.3

Completion of worksheet, preparation of financial statements and closing entries

The following unadjusted trial balance was taken from the ledger of Heather's H.R. Services on 30 June 2025.

Account	Debit	Credit
Cash at bank	$ 80 000	
Accounts receivable	74000	
Prepaid insurance	24000	
Equipment	230000	
Accumulated depreciation — equipment		$ 60 000
Accounts payable		64000
Heather Harris, capital		204000
Heather Harris, drawings	50000	
Service revenue		340000
Wages expense	130000	
Electricity expense	54000	
Sundry expense	26000	
	$668000	$668 000

Required

(a) Prepare a 10-column worksheet using the following additional information on 30 June 2025.

- **i. Accrued wages, $18 000.**
- **ii. Expired insurance, $16 000.**
- **iii. Depreciation on equipment, $60 000.**

(b) Prepare an income statement, a statement of changes in equity and a balance sheet.

(c) Record the adjusting and closing entries in the general journal.

(LO3 and LO4)

(a)

HEATHER'S H.R. SERVICES
Worksheet
for the year ended 30 June 2025
($'000)

Account title	Unadjusted trial balance		Adjustments		Adjusted trial balance		Income statement		Balance sheet	
	Debit	Credit	Debit	Credit	Debit	Credit	Debit	Credit	Debit	Credit
Cash at Bank	80				80				80	
Accounts Receivable	74				74				74	
Prepaid Insurance	24			(2) 16	8				8	
Equipment	230				230				230	
Accum. Depr. Equipment		60		(3) 60		120				120
Accounts Payable		64				64				64
Heather Harris, Capital		204				204				204
Heather Harris, Drawings	50				50				50	
Service Revenue		340				340		340		
Wages Expense	130		(1) 18		148		148			
Electricity Expense	54				54		54			
Sundry Expense	26				26		26			
	668	668								
Wages Payable				(1) 18		18				18
Insurance Expense			(2) 16		16		16			
Depr. Expense – Equipment			(3) 60		60		60			
			94	94	746	746	304	340	442	406
Profit for the period							36			36
							340	340	442	442

(b)

HEATHER'S H.R. SERVICES Income Statement for the year ended 30 June 2025		
INCOME	($'000)	($'000)
Service revenue		$340
EXPENSES		
Wages expense	$148	
Depreciation expense	60	
Insurance expense	16	
Electricity expense	54	
Sundry expense	26	304
PROFIT		$36

HEATHER'S H.R. SERVICES Statement of Changes in Equity for the year ended 30 June 2025	
	($'000)
Heather Harris, Capital – 1 July 2024	$204
Profit for the year	36
	$240
Drawings during the year	(50)
Heather Harris, Capital – 30 June 2025	$190

HEATHER'S H.R. SERVICES Balance Sheet as at 30 June 2025		
CURRENT ASSETS	($'000)	($'000)
Cash at bank	$80	
Accounts receivable	74	
Prepaid insurance	8	162
NON-CURRENT ASSETS		
Equipment	230	
Less: Accum. depreciation	(120)	110
TOTAL ASSETS		$272
CURRENT LIABILITIES		
Accounts payable	64	
Wages payable	18	82
TOTAL LIABILITIES		82
NET ASSETS		$190
EQUITY		
Heather Harris, Capital		190
TOTAL EQUITY		$190

(c)

Adjusting entries

	($'000)	($'000)
Wages Expense	18	
Wages Payable		18
Accrued wages.		
Insurance Expense	16	
Prepaid Insurance		16
Insurance costs expired.		
Depreciation Expense – Equipment	60	
Accumulated Depreciation – Equipment		60
Depreciation on equipment.		
Closing entries		
Service Revenue	340	
Profit or Loss Summary		340
Close income accounts.		
Profit or Loss Summary	304	
Wages Expense		148
Electricity Expense		54
Sundry Expense		26
Insurance Expense		16
Depreciation Expense – Equipment		60
Close expense accounts.		
Profit or Loss Summary	36	
Heather Harris, Capital		36
Transfer loss to capital account.		
Heather Harris, Capital	50	
Heather Harris, Drawings		50
Transfer drawings to capital.		

Exercise 5.5

Closing entries and post-closing trial balance

Fred Thomas founded Fred's Fishing Supplies on 1 July 2025. The adjusted trial balance at 30 June 2026 (the end of the financial year) is shown below.

BEN'S BUILDING BUILDERS Adjusted trial balance as at 30 June 2026		
Account	Debit	Credit
Cash at bank	$52 430	
Accounts receivable	64 760	
Building supplies	15 420	
Prepaid insurance	7 710	
Utility Vehicle	92 520	
Accumulated depreciation — Utility Vehicle		$46 260
Accounts payable		15 420
Salaries payable		5 240
Interest payable		8 020
Mortgage payable		20 050
Unearned revenue		17 270
B. Johns, capital		46 250
B. Johns, drawings	37 010	
Sales		180 110
Salaries expense	36 080	
Insurance expense	2 780	
Interest expense	1 540	
Depreciation expense	10 790	
Building supplies expense	5 240	
Rent expense	12 340	
	$338 620	$338 620

Required
(a) Prepare closing entries to be made on 30 June 2026.
(b) Prepare a post-closing trial balance as at 30 June 2026.

(a)

General journal
Closing entries

	Particulars	Debit	Credit
2026			
June 30	Sales	$180 110	
	Profit or Loss Summary		$180 110
	Close income accounts to Profit or Loss Summary		
	Profit or Loss Summary	68 770	
	Salaries Expense		36 080
	Insurance Expense		2 780
	Interest Expense		1 540
	Depreciation Expense		10 790
	Building Supplies Expense		5 240
	Rent Expense		12 340
	Close expense accounts to Profit or Loss Summary		
	Profit or Loss Summary	111 340	
	B. Johns, Capital		111 340
	Close Profit or Loss Summary to Capital		
	B. Johns, Capital	37 010	
	B. Johns, Drawings		37 010
	Close Drawings to Capital		

(b)

BEN JOHNS BUILDING BUILDERS Post Closing Trial Balance as at 30 June 2026		
Account	**Dr**	**Cr**
Cash at bank	$52 430	
Accounts receivable	64 760	
Building supplies	15 420	
Prepaid insurance	7 710	
Utility Vehicle	92 520	
Accumulated depreciation – Utility Vehicle		$46 260
Accounts payable		15 420
Salaries payable		5 240
Interest payable		8 020
Mortgage payable		20 050
Unearned revenue		17 270
B. Johns, Capital*		120 580
	$232 840	$232 840

*: Capital closing balance = Capital opening balance $46 250 + Profit $111 340 – Drawings $37 010 = $46 920

Exercise 6.7 - Income Statement — periodic inventory system

Use the following information from the records of Preston Partners to prepare an income statement under the periodic inventory system for the year ended 30 June 2020. (LO2 and LO6)

Purchases	$ 186 600
Inventory, 1 July 2019	13 860
Inventory, 30 June 2020	12 920
Selling and distribution expenses	45 420
Sales	268 860
Purchases returns and allowances	4 420
Sales returns and allowances	6 220
Administrative expenses	16 460
Freight inwards	3 180
Finance expenses	2 020

PRESTON PARTNERS
Income Statement
for the year ended 30 June 2020

INCOME			
Sales Revenue:			$268 860
Less: Sales returns and allowances			6 220
Net sales revenue			262 640
Cost of sales:			
Beginning inventory		$13 860	
Purchases	$186 600		
Freight inwards	3 180		
	189 780		
Less: Purchases returns and allowances	4 420		
Cost of net purchases		185 360	
Cost of goods available for sale		199 220	
Less: Ending inventory		12 920	
Cost of sales			186 300
GROSS PROFIT			76 340
EXPENSES:			
Selling and Distribution expenses		45 420	
Administrative expenses		16 460	
Finance and other expenses		2 020	
			63 900
Net PROFIT			$12 440

Exercise 6.8

Income statement — perpetual inventory system

The account balances below are taken from the records of Gilberton Retail Prepare an income statement under the perpetual inventory system for the year ended 30 June 2019. (LO2 and LO6)

Cost of sales	$ 102 620
Inventory, 30 June 2019	12 070
Selling and distribution expenses	32 730
Sales	163 810
Sales returns and allowances	3 880
Administrative expenses	10 750
Freight inwards	2 020
Finance expenses	1 360

GILBERTON RETAIL
Income Statement
for the year ended 30 June 2019

INCOME		
Sales Revenue:		$163 810
Less: Sales returns and allowances		3 880
Net sales revenue		159 930
Cost of sales ($102 620 + $2 020):		104 640
GROSS PROFIT		55 290
EXPENSES:		
Selling and distribution expenses	$32 730	
Administrative expenses	10 750	
Finance expenses	1 360	
		44 840
Net PROFIT		$10 450

Exercise 13.5 **Inventory cost methods** — perpetual inventory system Non-GST version

The following information relates to the inventory of the Denki Ltd during the month of August:

August 1	Beginning Inventory	60 units @ $10
12	Purchased	90 @ $12
15	Sold	80 units
21	Purchased	120 @ $13
22	Sold	100 units
28	Sold	65 units

Denki Ltd uses the **perpetual inventory method** of accounting for inventory. Ignore GST.

Required

Determine the cost of the ending inventory. Note a physical stocktake verified inventory records reflected ending stock levels. The manager of Denki Ltd is evaluating inventory valuation methods and is seeking your assistance to calculate the value of closing inventory and cost of goods sold for each of the following methods:

(a) FIFO
(b) LIFO
(c) Moving average; note, round unit cost to the nearest cent.
(d) Specific identification – records identified the ending inventory consisted of 5 units from beginning inventory, 12 units from the purchase on 12 August and the remaining from the purchase on 21 August. (LO3)

Suggested Solution:

(a)

(a). FIFO		Purchases			Sales			Balance		
Date	Explanation	Units	Unit Cost	Total Cost	Unit	Unit Cost	Total Cost	Units	Unit Cost	Total Cost
August 1	Beg. Invent.							60	$10.00	$600.00
12	Purchases	90	$12.00	$1,080.00				60	10.00	600.00
								90	12.00	1,080.00
15	Sales				60	$10.00	$600.00			
					20	$12.00	240.00	70	12.00	840.00
21	Purchases	120	13.00	1,560.00				70	12.00	840.00
								120	13.00	1,560.00
22	Sales				70	$12.00	840.00			
					30	13.00	390.00	90	13.00	1,170.00
28	Sales				65	13.00	845.00	25	13.00	$325.00
							$2,915.00			

Ending Inventory = $325 Cost of Sales = $2,915

(b)

(b). LIFO		Purchases			Sales			Balance		
Date	Explanation	Units	Unit Cost	Total Cost	Unit	Unit Cost	Total Cost	Units	Unit Cost	Total Cost
August 1	Beg. Invent.							60	$10.00	$600.00
12	Purchases	90	$12.00	$1,080.00				60	10.00	600.00
								90	12.00	1,080.00
15	Sales				80	$12.00	$960.00	60	10.00	600.00
								10	12.00	120.00
21	Purchases	120	13.00	1,560.00				60	10.00	600.00
								10	12.00	120.00
								120	13.00	1,560.00
22	Sales				100	$13.00	1300.00	60	10.00	600.00
								10	12.00	120.00
								20	13.00	260.00
28	Sales				20	13.00	260.00			
					10	12.00	120.00			
					35	10.00	350.00	25	10.00	$250.00
							$2,990.00			

Ending Inventory = $250 Cost of Sales = $2,990

(c)

(c). Moving Average		Purchases			Sales			Balance		
Date	Explanation	Units	Unit Cost	Total Cost	Unit	Unit Cost	Total Cost	Units	Unit Cost	Total Cost
August 1	Beg. Invent.							60	$10.00	$600.00
12	Purchases	90	$12.00	$1,080.00				150	11.20	1,680.00
15	Sales				80	$11.20	$896.00	70	11.20	784.00
21	Purchases	120	13.00	1,560.00				190	12.34	2,344.00
22	Sales				100	$12.34	1,234.00	90	12.34	1,110.00
28	Sales				65	12.34	801.89	25	12.34	$308.11
							$2,931.89			

Ending Inventory = $308.11 Cost of Sales = $2,931.89

(d)

SIM										
			Purchases			Sales			Balance	
Date	Explanation	Units	Unit Cost	Total Cost	Units	Unit Cost	Total Cost	Units	Unit Cost	Total Cost
Aug-01	Start							60	10	600
12		90	12	1080						
15					80					
21		120	13	1560						
22					100					
28					65					
Bal					55	10	550	5	10	50
					78	12	936	12	12	144
					112	13	1456	8	13	104
					245		2942	25		298

Problems

Problem 13.16

Inventory cost flow methods — periodic inventory system

Non-GST version

The following information relates to the inventory of the 'Coffee Bean', a retail business that sells speciality coffee. A summary of the transactions for coffee beans are presented below for the month of June. Ignore GST.

Date	Details	Units	Unit Cost	Total
June 1	Beginning Inventory	12 000	$ 5.30	$ 63 600
8	Purchase	7 500	5.50	41 250
13	Purchase	6 000	5.60	33 600
25	Purchase	8 950	5.80	51 910
29	Purchase	9 200	6.30	57 960
	Total	43 650		$ 248 320

The Coffee Bean has adopted the periodic inventory system for recording inventory. Sales totalled 35 650 units of coffee tea at a sales value of $213 900. A physical stocktake at the end of June confirmed 8 000 units of coffee beans were on hand. Note, round to the nearest dollar.

Required

(a) Prepare a Statement of Profit or Loss to calculate the gross profit for the month of June using each of the following costing methods:

- **i.** **specific identification, assuming that 9 500 units were sold from the beginning inventory, 6 500 units were sold from the first purchase, 5 000 units were sold from the 13 June purchase, 7 400 units were sold from the purchase on the 25 June and the remainder from the 30 June purchase.**
- **ii.** **FIFO**
- **iii.** **LIFO**
- **iv.** **weighted average.**

(b) Which cost flow method(s) resulted in the highest gross profit on sales? the highest ending inventory? Explain your results.

P13.16 Suggested Solution:

(a)

Workings: note – rounding applied

Date	Details	Units	Unit Cost	Total
Jun 1	Beginning Inventory	12,000	$ 5.30	$ 63,600
8	Purchase	7,500	5.50	41,250
13	Purchase	6,000	5.60	33,600
25	Purchase	8,950	5.80	51,910
30	Purchase	9,200	6.30	57,960
	Goods Avail for sale	43,650		$ 248,320
	Units sold	35,650	units	
	Ending Inventory	8,000	units	

(i)

Specific Identification

Cost of sales - units		
9,500 units	$ 5.30	$ 50,350
6,500 units	5.50	35,750
5,000 units	5.60	28,000
7,400 units	5.80	42,920
7,250 units	6.30	45,675
35,650 units		202,695

Ending inventory		
2,500 units	$ 5.30	$13,250
1,000 units	5.50	5,500
1,000 units	5.60	5,600
1,550 units	5.80	8,990
1,950 units	6.30	12,285
8,000 units		$45,625

(ii)

FIFO

	Units	Total Cost
Goods available for sale	43,650	$ 248,320
Ending inventory (8000 units):		
8000 units @ $6.30	(8,000)	(50,400)
Cost of sales	35,650	$ 197,920

(iii)

LIFO	Units	Total Cost
Goods available for sale	43,650	$ 248,320

	Units	Total Cost
Ending inventory (8000 units):		
8000 units @ $5.30	(8,000)	(42,400)
Cost of sales	35,650	$ 205,920

(iv)

Weighted Average	Units	Total Cost
Goods available for sale/Units available		
= $248 320 / 43 650 units = $5.69 per unit		
Goods available for sale	43,650	$ 248,320
Ending Inventory 8000 @ $5.69	(8,000)	(45,520)
Cost of Sales	35,650	$ 202,800

b) Profit calculation.

	FIFO	LIFO	WAVCO	SIM		
	$	$	$	$		
Sales	213900	213900	213900	213900	Given in Q	a
Cost of sales	197920	205920	$202,809	202695	As above	b
Gross profit	15980	7980	$11,091	11205		c=a-b

7.2
a) What is an internal control system? Discuss the principles involved in establishing a good internal control system. Discuss also the limitations of internal control systems.
b) Are internal controls required in cloud based accounting system.

a) A system of internal control consists of all the measures used by a business:

- to safeguard its resources against waste, fraud and inefficiency
- to promote the reliability of accounting data
- to encourage compliance with business policies and government regulations.

Two aspects to internal control:
(1) administrative controls and

(2) accounting controls.

Administrative controls are those established to provide operational efficiency and adherence to prescribed policies, such as a written directive identifying the standards to be followed in hiring new employees, manuals identifying purchasing and sales procedures, and various performance reports required from employees.

Accounting controls are the methods and procedures used to protect assets and ensure the reliability of accounting records, such as procedures for the authorisation of transactions and the separation of record-keeping duties from custodianship of the entity's assets.

Principles of internal control which should be discussed are:

- Clearly established lines of responsibility.
- Separation of record keeping and custodianship.
- Division of responsibility for related transactions.
- Mechanical and electronic devices.
- Adequate insurance.
- Internal auditing.
- Programming, physical and other controls.

b) Yes. Internal Controls still required:
   - Segregation of duties via layered permissions.
   - Multi-factor authentication and password policy.
   - Independent review of audit logs and exception reports.
   - Periodic bank and supplier reconciliations.
   - Independent off-site backups.

7.5 Matching transaction types with journals **LO4**

Fiona Spottiswoode uses a purchases journal, a cash payments journal, a sales journal, a cash receipts journal and a general journal. Indicate in which journals the following transactions are most likely to be recorded.

1. Issue of shares for cash
2. Purchased inventories on credit
3. Cash purchase of inventories (cheque no. 32162)
4. Sale of marketable securities (shares) for cash
5. Sales of inventory on credit
6. Received payment of a customer's account
7. Received adjustment note for defective goods, which were purchased on credit and returned to the supplier
8. Owner withdrew inventory for personal use
9. Owner withdrew cash
10. Payment of monthly rent by cheque
11. Cash refund to a customer who returned inventory
12. Year-end closing entries

1. Cash receipts journal
2. Purchases journal
3. Cash payments journal
4. Cash receipts journal
5. Sales journal
6. Cash receipts journal
7. General journal
8. General journal
9. Cash payments journal
10. Cash payments journal
11. Cash payments journal
12. General journal

Exercise : Bank Reconciliation Statement

166) You are the accountant for Georgia Company and you have recently received the bank statement for your company's account and need to reconcile it with your general ledger cash account. Georgia's records show an ending balance for the month of $25,444.80 while the bank's records show an ending balance of $24,734.32. The bank charged $16 in service fees and paid $52.10 in interest.

All but three checks written during the month were processed by the bank without incident during the month. The three exceptions were:

Check #841 was correctly processed by the bank as $1,962.54 but was mistakenly recorded by you as $1,562.54.
Check #853 for $129.14 had not yet been processed by the bank.
Check #855 for $1,366.92 had not yet been processed by the bank.

All but two of the deposits made during the month were processed by the bank without incident. The two exceptions were:

A customer check for $615.90, which had been deposited during the month, was returned NSF.
A deposit totaling $1,226.74 had not yet been processed by the bank.

Required:

Using the information provided above, prepare a bank reconciliation. **(Round your answers to 2 decimal places.)**

Answer:

Updates to Bank Statement		Updates to Company's Books	
Ending cash balance per bank statement	$24,734.32	Ending cash balance per books	$25,444.80
		Additions	
Additions		Interest received from bank	52.10
Deposit in transit			25,496.90
	1,226.74		
	25,961.06	Deductions	
Deductions		NSF check	615.90
Outstanding check #853	129.14	Bank service charges	16.00
Outstanding check #855		Error correction	
	1,366.92		400.00
Up-to-date ending cash balance	$24,465.00	Up-to-date ending cash balance	$24,465.00

Exercise : Bank Reconciliation Statement

170) Cottage Co. deposits all cash receipts on the day when they are received and it makes all cash payments by check. At the close of business on December 31, its Cash account shows a debit balance of $36,606. The company's bank statement as of December 31 shows an ending cash balance of $31,842. The following information was also available.

Outstanding checks as of December 31 total $4,522.
Included with the bank statement was a debit memo in the amount of $70 for service charges.
Check No. 2519, listed with the canceled checks, was correctly drawn for $805 in payment of a utility bill on December 16. The company mistakenly recorded it with a debit to Utilities Expense and a credit to Cash in the amount of $895.
The December 31 cash receipts of $6,850 were placed in the bank's night depository after banking hours and were not recorded on the December 31 bank statement.
The bank deducted $2,456 for an NSF check from a customer deposited on December 10.

Required:

Prepare the bank reconciliation as of December 31.

Answer:

Cottage Co.
Bank Reconciliation
At December 31

Updates to Bank Statement		Updates to Company's Books	
Ending cash balance per bank statement	$31,842	Ending cash balance per books	$36,606
Additions		Additions	
Deposit in transit	6,850	Error correction	90
	38,692		36,696
Deductions		Deductions	
Outstanding checks	4,522	NSF check	2,456
		Bank service charges	70
Up-to-date ending cash balance	$34,170	Up-to-date ending cash balance	$34,170

Exercise 11.10

Petty cash fund transactions

During October, Hair Styles Pty Ltd experiences the following transactions in establishing a petty cash fund.

Oct.	1	A petty cash fund is established by withdrawing $130 from the bank account.	
	31	A count of the petty cash fund disclosed the following items:	
		Currency (notes)	$ 7.80
		Coins	0.50
		Expenditure receipts (vouchers):	
		Office supplies	36.50
		Telephone and fax	21.30
		Postage	53.70
		Freight-out	8.80
		The fund is reimbursed and increased to $260.	

Required: Journalise the entries in October that pertain to the petty cash fund.

(a)

Oct. 1	Petty cash	Dr	130	
	Cash at bank	Cr		130
	(To establish the petty cash account)			
Oct 31	Postage expense	Dr	53.70	
	Office supplies	Dr	36.50	
	Miscellaneous expense	Dr	21.30	
	Freight-out	Dr	8.80	
	Cash over and short	Dr	1.40	
	Cash at bank	Cr		121.70
	(To reimburse the petty cash fund)			
Oct 31	Petty cash	Dr	130	
	Cash at bank	Cr		130
	(To increase the petty cash fund)			

174) On September 1, a company established a petty cash fund of $200. On September 10, the petty cash fund was replenished when there was $32 remaining and there were petty cash receipts for supplies, $54, and postage, $108. On September 15, the petty cash fund was increased to $250.

Required:

Prepare the journal entries, if any, required on September 1, September 10, and September 15. **(If no entry is required for a transaction/event, select "No Journal Entry Required" in the first account field.)**

Answer:

Sept.1	Petty Cash (A+)	200	
	Cash (A-)		200
Sept.10	Supplies (E+)	54	
	Office Expenses (E+)	108	
	Cash Shortage (E+)	6	
	Cash(A-)		168
Sept.15	Petty Cash (A+)	50	
	Cash (A-)		50

Exercise 12.1 - Bad debts — direct write-off and allowance methods

The following summarises the aging of accounts receivable for Johnston Supplies, Inc. as of July 31, 2024:

	Total Accounts Receivable	Historical % Uncollectible
Not yet due	$ 128,000	5%
1-30 days past due	90,700	10%
31-60 days past due	55,100	16%
Over 60 days past due	33,300	35%

Required:

a. The unadjusted balance of the Allowance for Doubtful Accounts of Johnston Supplies, Inc. is a credit balance in the amount of $29,397 on July 31, 2024. Prepare the required adjusting entry to record Bad Debt Expense for the year. (4 marks)
b. On Aug 15, 2026, Johnston Supplies, Inc. determined that the account receivable of $3,231 owed by a former customer was uncollectible and wrote off the account. Prepare the journal entry to record the write-off.
C Using a running-balance format, show the Allowance for Doubtful Accounts from July 30, 2024 through the Aug 15, 2024 write-off. Include the opening unadjusted balance, the effect of the adjusting entry from part (a), and the write-off from part (b). State the ending balance
a.

No	Date	General Journal	Debit	Credit
1	July 31, 2024	Bad Debt Expense	6544	
		Allowance for Doubtful Accounts		6544

b.

No	Date	General Journal	Debit	Credit
1	August 15, 2024	Allowance for Doubtful Accounts	3231	
		Accounts Receivable		3231

c.

Allowance for Doubtful Accounts

		$ Debit	$ Credit	$ Balance
7/31/24	Balance			29,397
	Bad debt exp		6544	
	AR	3231		
				32,710

Exercise 12.7 - Bad debts — direct write-off and allowance methods

214) The following summarizes the aging of accounts receivable for Johnston Supplies, Inc. as of July 31, 2019:

Number of Days Unpaid	Total Accounts Receivable	Historical % Uncollectible
Not yet due	$ 126,500	2%
1-30 days past due	89,200	12%
31-60 days past due	53,600	18%
Over 60 days past due	31,800	35%

Required:

Part a. The unadjusted balance of the Allowance for Doubtful Accounts of Johnston Supplies, Inc. is a credit balance in the amount of $28,947 on July 31, 2019. Prepare the required adjusting entry to record Bad Debt Expense for the year.

Part b. Johnston Supplies, Inc. writes off $3,081 of uncollectible accounts on August 15, 2019. Prepare the required adjusting entry to record the write-off.

Part c. Use a T-account to determine the account balance in the Allowance for Doubtful Accounts on August 15, 2019.

Answer:

Part a. Estimated amount uncollectible is calculated as follows:

Number of Days Unpaid	Total Accounts Receivable	Historical % Uncollectible	Estimated Amount Uncollectible
Not yet due	$ 126,500	2%	$ 2,530
1-30 days past due	89,200	12%	10,704
31-60 days past due	53,600	18%	9,648
Over 60 days past due	31,800	35%	11,130
Estimated Uncollectible			$ 34,012

Adjusted balance in Allowance for Doubtful Accounts (or estimated uncollectible) = Unadjusted balance in Allowance for Doubtful Accounts + Bad Debt Expense

Bad Debt Expense = Adjusted balance in Allowance for Doubtful Accounts – Unadjusted balance in Allowance for Doubtful Accounts

= $34,012 – $28,947 = $5,065

July 31	Bad Debt Expense	5,065	
	Allowance for Doubtful Accounts		5,065

Part b.

Aug. 15	Allowance for Doubtful Accounts	3,081	
	Accounts Receivable		3,081

Part c.

– Dr	Allowance for Doubtful Accounts		+ Cr
		28,947	Unadjusted Balance at 7/31/19
		5,065	Adjustment at 7/31/19
		34,012	Adjusted Balance at 7/31/19
Write-off on 8/15/19	3,081		
		30,931	Unadjusted Balance at 8/15/19

Exercise 14.1
Greer Manufacturing purchases property that includes land, buildings and equipment for $5.1 million. The company also pays $185,000 in legal fees, $227,000 in commissions, and $100,000 in appraisal fees. The fair value of the property is allocated as follows land is estimated at 24%, the buildings are at 38%, and the equipment at 38% of the property value.

Required:

a. Determine the total acquisition cost of this "basket purchase". **(Enter your answer in whole dollars and not in millions.)**

Acquisition cost	$5,612,000

b. Allocate the total acquisition cost to the individual assets acquired. **(Enter your answers in whole dollars and not in millions.)**

Land	$1,346,880
Buildings	$2,132,560
Equipment	$2,132,560

c. Prepare the journal entry to record the purchase assuming that the company paid 45% of the amounts using cash and signed a note (due in five years) for the remainder. Narration is not required. **(If no entry is required for a transaction/event, select "No Journal Entry Required" in the first account field. Enter your answers in whole dollars and not in millions.)**

General Journal

No	Transaction	General Journal	Debit	Credit
A	1	Land	1,346,880	
		Buildings	2,132,560	
		Equipment	2,132,560	
		Cash		2,525,400
		Notes Payable (long-term)		3,086,600

Exercise 14.3
At the beginning of 2021, your company buys a $32,400 piece of equipment that it expects to use for 4 years. The equipment has an estimated residual value of 6000. The company expects to produce a total of 200,000 units. Actual production is as follows: 40,000 units in 2021, 45,000 units in 2022, 47,000 units in 2023, and 68,000 units in 2024.

Required:

a. Determine the depreciable cost.

Depreciable cost	$26,400

b. Calculate the depreciation expense per year under the straight-line method.

Depreciation Expense Per Year	$6600

c. Use the straight-line method to prepare a depreciation schedule.

Year	Depreciation Expense	Accumulated Depreciation	Net Book Value
Acquisition Cost			$32,400
2021	$6600	$6600	$25,800
2022	$6600	$13,200	$19,200
2023	$6600	$19,800	$12,600
2024	$6600	$26,400	$6000

d. Calculate the depreciation rate per unit under the units-of-production method. **(Round your answer to 2 decimal places.)**

Depreciation Rate Per Unit	$0.132

e. Use the units-of-production method to prepare a depreciation schedule. **(Do not round your Depreciation rate per unit.)** (4 marks)

Year	Depreciation Expense	Accumulated Depreciation	Net Book Value
Acquisition Cost			$32,400
2017	$5280	$5280	$27,120
2018	$5940	$11,220	$21,180
2019	$6204	$17,424	$14,976
2020	$8976	$26,400	$6000

QUESTION

Lucia Kraus and Trent Lee are department managers in the housewares and shoe departments, respectively, at Hillards, a large department store. Trent has observed Lucia taking inventory from her department home, apparently without paying for it. He hesitates to confront Lucia because he is due for a promotion and needs her recommendation. He also does not want to report the matter to company management, fearing that initiating an ethics investigation may harm his reputation and give him a 'goody-goody' image.

This week, Lucia tried on several pairs of expensive running shoes in his department before finding a pair that suited her. She did not, however, purchase them. That same pair was found missing the next morning.

Hillards has recently replaced its periodic inventory system with a perpetual inventory system using scanners and bar codes. In addition, annual inventory checks will be replaced by monthly inventory conducted by an independent firm. On hearing this news, Trent relaxes and thinks, "The system will catch Lucia now."

Hillards adheres to the APES 110 Code of Ethics for Professional Accountants (including Independence Standards), effective from 1 January 2025, which outlines fundamental principles including integrity, objectivity, professional competence and due care, confidentiality, and professional behaviour .

Required:

a) Is Trent's attitude justified in light of the ethical responsibilities outlined in the APES 110 Code of Ethics? Why or why not?

b) What, if any, ethical obligations does Trent have under the APES 110 Code, and what action should he now take?

ANSWER

a)
Trent's attitude is not justified under the APES 110 Code of Ethics. The Code requires all accountants to uphold the fundamental principles of:

1. Integrity – being honest and straightforward in all professional relationships. Turning a blind eye to potential theft violates this.
2. Objectivity – not allowing bias, conflict of interest, or undue influence. Trent's reluctance to report Lucia due to his upcoming promotion suggests a conflict of interest.
3. Professional Behaviour – complying with relevant laws and avoiding actions that discredit the profession. Failing to report suspected misconduct could compromise the company and the profession's integrity.

Trent's reliance on the new inventory system to "catch" Lucia later does not absolve him of his ethical responsibilities to act now. Ethical behaviour is proactive, not passive.

What, if any, ethical obligations does Trent have under the APES 110 Code, and what action should he now take? *(6 marks)*

Trent has an obligation to act in accordance with the conceptual framework of APES 110, which requires identifying threats to compliance with fundamental principles and applying safeguards to reduce them to an acceptable level.
Ethical obligations and actions:

1. Address the issue internally: Trent should consider discussing his concerns directly with Lucia, provided he feels safe and the issue can be resolved. This aligns with professional courtesy and due care.
2. Report the matter to management or the appropriate authority: If direct discussion is inappropriate or ineffective, Trent must escalate the issue to a supervisor or ethics officer in line with company policy and the Code's guidance on non-compliance with laws and regulations (NOCLAR).
3. Document the matter: For his own protection and accountability, Trent should document the observed behaviour, any communication with Lucia, and his decision-making process.
4. Safeguard independence and objectivity: Trent should distance himself from any personal gain that might impair his judgement (e.g., promotion concerns).
5. Avoid delay: Waiting for the system to detect wrongdoing is insufficient under APES 110. Immediate steps must be taken to address unethical conduct.

APES 110 Code of Ethics for Professional Accountants (including Independence Standards) requires accountants to uphold five core principles: integrity, objectivity, professional competence/due care, confidentiality, and professional behavior. It mandates acting in the public interest rather than solely for a client, using a conceptual framework to identify, evaluate, and mitigate ethical threats. [1, 2, 3]

Key Ethical Principles (Section 110)

- **Integrity:** Being straightforward and honest in all professional and business relationships.
- **Objectivity:** Not compromising professional judgment due to bias, conflict of interest, or undue influence.
- **Professional Competence and Due Care:** Maintaining knowledge and skills to provide competent service, acting diligently according to standards.
- **Confidentiality:** Protecting client/employer information, ensuring it is secure, private, and not disclosed without authority.
- **Professional Behaviour:** Complying with laws and regulations, avoiding actions that discredit the profession. [1, 2]

Key Responsibilities and Framework

- **Public Interest Obligation:** Members must prioritise the public interest.
- **Conceptual Framework:** Members must identify threats to compliance, evaluate them, and apply safeguards to eliminate or reduce threats to an acceptable level.
- **Independence Standards (Part 4A/4B):** Specific requirements for auditors regarding independence of mind and appearance.
- **Professional Association:** Members must not be associated with reports or information deemed materially false, misleading, or recklessly prepared. [1, 2, 3, 4, 5]

Application of the Code

- **Part 1:** Fundamental principles (applies to all members).
- **Part 2:** Members in business.
- **Part 3:** Members in public practice.
- **Part 4A/4B:** Independence requirements for audit and assurance engagements. [1]